



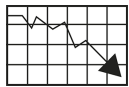
PACKAGES OF DEBT

Many people believe that after the banks were deregulated (when various rules were relaxed) in the 1980s, they became carried away by “financial engineering.” Banks set up elaborate and risky schemes to make money by buying and selling things such as securities on loans, and created complex chains of debt. In effect, they gambled vast sums of money without the reserves to absorb losses. In the wake of the crisis, many cases of financial malpractice emerged.



TOO BIG TO FAIL

Faced with the collapse of major banks, governments stepped in. If these big banks failed, millions of ordinary account holders could face financial ruin. The banks were deemed “too big to fail” without disastrous consequences. But the debts they had built up were massive. In the US alone, bailing out the banks cost \$16.8 trillion—a third of the country’s GDP (gross domestic product). Some believe that the banks should have been left to fail.



GREAT RECESSION

The financial crisis of 2007–8 led into the Great Recession, a period of stalled economic growth around the world. Not every country was equally affected, but the downturn led to a shrinkage of the world’s GDP in 2009 for the first time since World War II. Worried about the growing national debt, many governments cut back spending with “austerity” policies. Some economists argue that this tactic can make things worse.